

THE NEW MEASURES

The new security features introduced by the Reserve Bank of India

SECURITY THREAD: The machine-readable security thread in Rs 10, Rs 20 and Rs 50 denominations is windowed on the front side and fully embedded on the reverse. The thread fluoresces yellow on both sides under ultraviolet (UV) light. It appears as a continuous line from behind when held up against light. Rs 100, Rs 500 and Rs 1,000 notes have the thread with colour shifting from green to blue when viewed from different angles. It fluoresces yellow on the reverse and the text will fluoresce on the obverse under UV light.

INTAGLIO PRINTING: The portrait of Mahatma Gandhi, Reserve Bank seal, guarantee and promise clause, Ashoka Pillar emblem, Governor's signature and the identification mark for the visually-impaired are printed in the improved intaglio.

OMRON ANTI PHOTO COPYING FEATURE: It has been introduced in the banknotes of Rs 50 and Rs 100 denomination in addition to Rs 500 (revised colour scheme) and Rs 1,000 denomination (MG series)

SEE-THROUGH REGISTER: Half numeral of each denomination (10, 20, 50, 100, 500, 1,000) is printed on the obverse (front) and half on the reverse. The accurate back-to-back registration makes the numeral appear as one when viewed against the light.

WATERMARK AND ELECTROTYPE WATERMARK: The portrait of Gandhiji, the multi-directional lines and an electrotpe showing the numeral 10, 20, 50, 100, 500 and 1,000 appear in this section, in each note. These are viewed better against light.

OPTICALLY VARIABLE INK: The font size of the numeral 500 and 1,000 in these notes is reduced compared to the MG series issued in 2000. The colour of the numeral appears green when the note is held flat but turns blue when it is held at an angle.

DUAL COLOURED FIBRES: Under the UV lamp, original notes appear to have optical fibres in two colours (pink and blue).

YEAR OF PRINTING: Year of printing appears on the reverse of the bank note

estimate puts it at a scary 10-20 per cent of the total currency notes in circulation which is currently Rs 6,10,000 crore—and the size and scale of 'operation dirty money' is coordinated by Pakistan's ISI which stretches from Dubai, Bangkok and Singapore to neighbouring states like Nepal, Sri Lanka and Bangladesh.

If the military-style raid of November 26 last year in Mumbai was an operation to undermine India's security apparatus, Pakistan has simultaneously been waging economic terrorism by corroding India's monetary system through fake currency injections. Even as the Reserve Bank of India (RBI) and banks are busy underplaying the magnitude of the problem by claiming that fake banknotes account for a small percentage of the money supply, the last one year has seen a dramatic increase in seizures of fake currency in every single state.

According to the National Crime Records Bureau, 2,204 cases of counterfeiting were reported during 2007 and roughly Rs 10 crore worth of fake currency was seized. Sikkim, Uttarakhand and Himachal Pradesh have reported a 200 per cent, 178.6 per cent and 175 per cent increase respectively in counterfeiting cases over 2006. "Money supply or the quantum of currency notes in the system is determined by several factors and if money supply increases then it can have huge implications for the economy. The bigger damage is in the form of a crisis in people's confidence in the currency," says Siddhartha Roy, chief economist at the Tata Group.

Not surprisingly, the border states are witnessing more of these cases as India's borders are porous, and inherent corruption only facilitates massive inflows not just of fake currency

but also narcotics. On January 29, a patrol of the Border Security Force picked up suspicious movement close to the Wagah border and when they opened fire, the shadowy figures disappeared inside Pakistan. A search of the area led to recovery of seven pistols, 13 kg of high-grade heroin and Indian counterfeit currency worth Rs 33 lakh in denominations of Rs 500 and Rs 1,000.

All signs show that 2008-09 may well become a watershed year for fake currency operations. Last August, Uttar Pradesh Police uncovered over Rs 4 crore worth of FICN from two State Bank of India (SBI) branches in Domariaganj. It was the largest seizures of high-value currency notes ever and led to an urgent September 3 meeting convened at the Intelligence Bureau (IB) headquarters in North Block attended by representatives of the Directorate of Revenue Intelligence (DRI), IB, the Ministry of Finance, the Central Bureau of Investigation (CBI), the Central Economic Intelligence Bureau (CEIB) and other agencies, practically all the eyes and ears of domestic and economic intelligence. The conclusions of the meeting were startling: the problem had long slipped out of criminal activity and entered the realm of national security.

At the rate at which fake currency notes were being seized—detection of fake Rs 500 and Rs 1,000 notes had gone up 10 times in just three years—the problem now had the capability of attacking the economic security of the country and hurting the citizens' confidence in Indian currency.

What's giving Indian intelligence sleepless nights are the